Inventory costing (The NRV & COST Battle)

Often People are very confused with the inventory cost calculations, there are multiple costing methods are available as per the IAS 2 that deals with the inventory calculations and recording in financial statements.

As per IAS 2 Inventory are Assets held for sale in ordinary course of business it could be the FG,RM & WIP (production in process).

Inventory is stated at lower of cost or NRV (Net realizable value).

D365 F&O supports all the valuation methods that are available in IAS 2:

1. WAVG
2. FIFO
3. Standard costing etc.

Apart from that all the cost relevant to inventory cost could be recognized from different modules such as Carrying cost using Charges process or at more granular level using landed cost module. Costing sheet for the produced items (Direct cost, indirect cost, Variable, fixed, sunk, High low method).

COGS:

D365 F&O has an automatic recognition of cost of good sold method, it's calculated as per the inventory valuation method defined in the Item model group.

NRV:

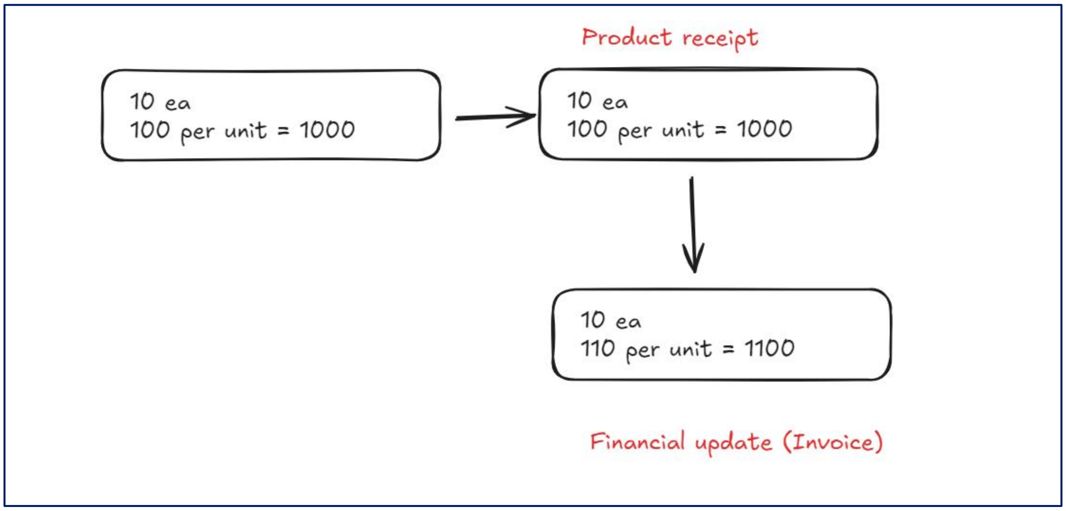
NRV Is calculated as per the management decision and D365 provides a strong adjustment process if inventory value needs to be adjusted.

In D365 F&O to understand the inventory valuation method there are couple of concepts that we need to understand:

- Physical cost
- Financial cost
- Marking & recalculation

Physical cost

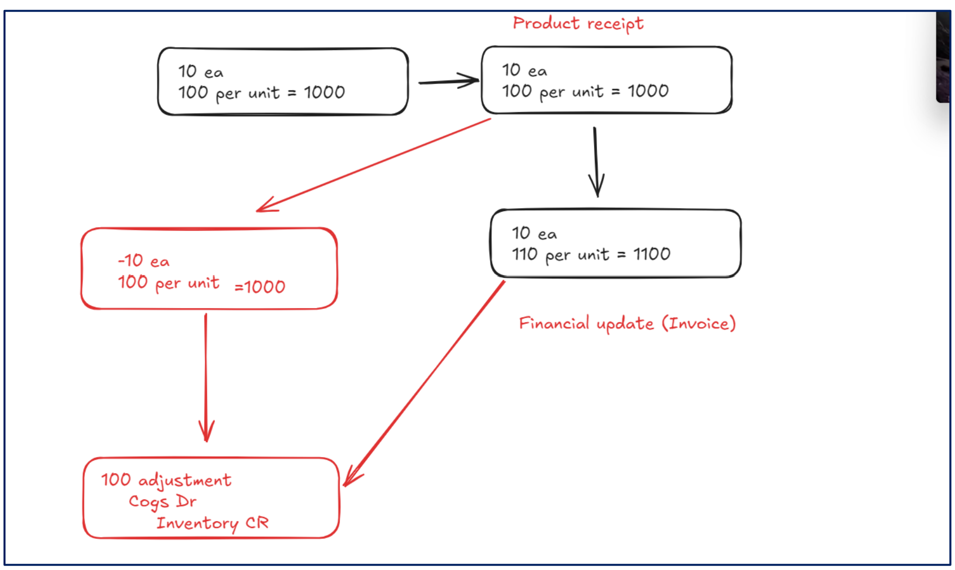
represents the inventory transactions based on the transaction type whether it's a product receipt or packing slip.
The receipt price is identified from the inventory cost that is coming from the purchase receipt and same is used for the inventory outbound or packing slip transactions.



Financial Cost:

Upon invoice posting financial cost is updated either inbound or Purchase order invoice that affects the inventory cost either upward or downward, sales order or outbound affects only Cogs and revenue.

That's how cost is updated on sales order after the financial update if there is any difference once the recalculation is performed.



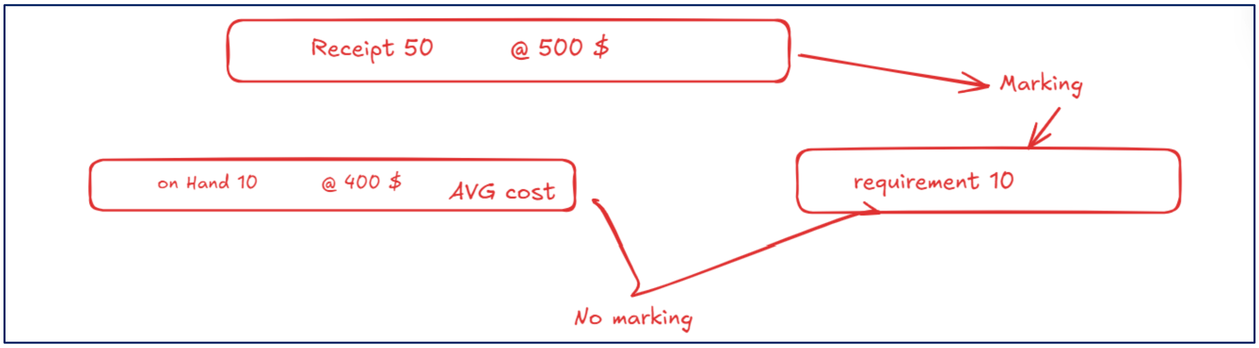
Inventory Marking:

IF the cost is not tracked at any single cost object level then some times its required to issue out a transaction at the same cost at which it was taken into account.

This is important in B2B transactions.

Whenever a sales order is created, and we need to procure to fulfill that special SO management will be interested to know the exact margin or markup from that order.

In such cases a purchase order from the sales order directly system marks that with the same lot ID (we can also mark manually if some transactions are required to marked)



Based on the Inventory model is used system will update the cost at the end of closing period.

1. It's better to include physical value check mark yes on item model group to avoid zero cost
2. Use weighted average or FIFO for better results.
3. Close inventory every month

More is Coming 😊 Cheers

Happy learning.

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